Practice workbook · Why businesses give trade discount and cash discount

The purpose of trade discount and of cash discount, and what the seller gains from each.

13 question parts: 1 worked-example retry and 12 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-REC-03

1. Question 14 · part a · 2 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part a only.

14 (a) State **two** benefits to a business of offering a trade discount.

(2)

1 .....

2 .....

Mira owns a retail business. She maintains a full set of accounting records.

On 1 March 2025, the balances on Mira's trade receivables ledger were Alicia, $1 440, and BZ Traders, $458

Mira allows Alicia a 10% trade discount.

During March 2025, the following transactions took place.

March 2025	Transaction
10	Received a cheque, $426, from BZ Traders in part settlement of the outstanding balance at 1 March 2025.
10	Sold goods on credit to Alicia, list price $850
12	Sold goods on credit to BZ Traders, list price $310
16	Alicia returned damaged goods to Mira, list price $120
19	Received notice from the bank that the cheque received from BZ Traders, $426, had been dishonoured.
30	Alicia settled the outstanding balance at 1 March 2025 by bank transfer after taking a cash discount of 5%.
31	Mira wrote off $32 on BZ Traders' account as irrecoverable.

(b) Prepare a journal entry to record the transaction on 31 March 2025. A narrative **is** required.

(3)

Journal

Date 2025	Account	Debit $	Credit $
March 31			

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1. Question 14 · part a · 2 marks · Working and answer

Working and answer

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2. Question 4 · part whole · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part whole only.

4 Which **one** of the following is a reason for offering a cash discount?

- ☒ **A** Bulk buying
- ☒ **B** Paying in cash
- ☒ **C** Prompt payment
- ☒ **D** Repeat business

(Total for Question 4 = 1 mark)

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Working and answer

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3. Question 14 · part c.i · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.i only.

14 Leon buys and sells goods only on credit.

(a) Complete the table.

(6)

Transaction	Source document	Book of original entry
Sold goods		
Received payment from customer		
Purchased a non-current asset on credit		

On 1 March 2020 the balance owing by Leon to Jay, a credit supplier, was $1 250

The following transactions took place during March 2020.

March	Transaction
3	Purchased goods on credit, $615
8	Returned faulty goods, $38
23	Paid the balance at 1 March 2020 by direct debit after deducting 2% cash discount.

(b) (i) Prepare Jay's account. Balance the account on 31 March 2020 and bring the balance down on 1 April 2020.

(6)

Jay's Account

Date	Details	$	Date	Details	$

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3. Question 14 · part c.i · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.i only.

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(ii) Identify, indicating with a tick (✓), the ledger in which Jay's account would be maintained in Leon's books.

(1)

Nominal ledger	
Receivables ledger	
Payables ledger	

(c) State **one** reason why a business offers:

(i) trade discount

(1)

.....

.....

(ii) cash discount.

(1)

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.....

(Total for Question 14 = 15 marks)

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Working and answer

4. Question 14 · part c.ii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

14 Leon buys and sells goods only on credit.

(a) Complete the table.

(6)

Transaction	Source document	Book of original entry
Sold goods		
Received payment from customer		
Purchased a non-current asset on credit		

On 1 March 2020 the balance owing by Leon to Jay, a credit supplier, was $1 250

The following transactions took place during March 2020.

March	Transaction
3	Purchased goods on credit, $615
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23	Paid the balance at 1 March 2020 by direct debit after deducting 2% cash discount.

(b) (i) Prepare Jay's account. Balance the account on 31 March 2020 and bring the balance down on 1 April 2020.

(6)

Jay's Account

Date	Details	$	Date	Details	$

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4. Question 14 · part c.ii · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

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(ii) Identify, indicating with a tick (✓), the ledger in which Jay's account would be maintained in Leon's books.

(1)

Nominal ledger	
Receivables ledger	
Payables ledger	

(c) State **one** reason why a business offers:

(i) trade discount

(1)

.....

.....

(ii) cash discount.

(1)

.....

.....

(Total for Question 14 = 15 marks)

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Working and answer

5. Question 8 · part whole · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part whole only.

8 Identify when a customer would receive a cash discount.

- ☒ **A** Bulk purchases
- ☒ **B** Payment made by cash
- ☒ **C** Payment made within agreed time
- ☒ **D** Regular purchases

(Total for Question 8 = 1 mark)

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Working and answer

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6. Question 3 · part whole · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part whole only.

3 Identify which is a reason for offering a cash discount.

- ☒ **A** Paying in cash
- ☒ **B** Paying promptly
- ☒ **C** Purchasing in bulk
- ☒ **D** Regular customer

(Total for Question 3 = 1 mark)

DO NO

Working and answer

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7. Question 15 · part a · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part a only.

15 (a) State **two** reasons for offering a trade discount.

(2)

1 .....

.....

2 .....

.....

(b) State **two** reasons why a credit customer's account may have a credit balance.

(2)

1 .....

.....

2 .....

.....

Kirk maintains a full set of accounting books and offers credit customers a 5% trade discount on orders over $1 000

During January 2023 the following transactions took place between Kirk and Bella.

January 2023	Transaction
2	Cheque received, $3 500, in full settlement of the account balance on 1 January 2023 of $3 720
9	Sold goods, list price $880
17	Returned goods sold on 9 January 2023, $170
28	Sold goods, list price $1 300

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7. Question 15 · part a · 2 marks · Working and answer

Working and answer

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8. Question 2 · part whole · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part whole only.

2 Identify the reason for offering a cash discount.

- ☒ **A** To encourage bulk buying
- ☒ **B** To encourage prompt payment
- ☒ **C** To gain new customers
- ☒ **D** To reward loyalty

(Total for Question 2 = 1 mark)

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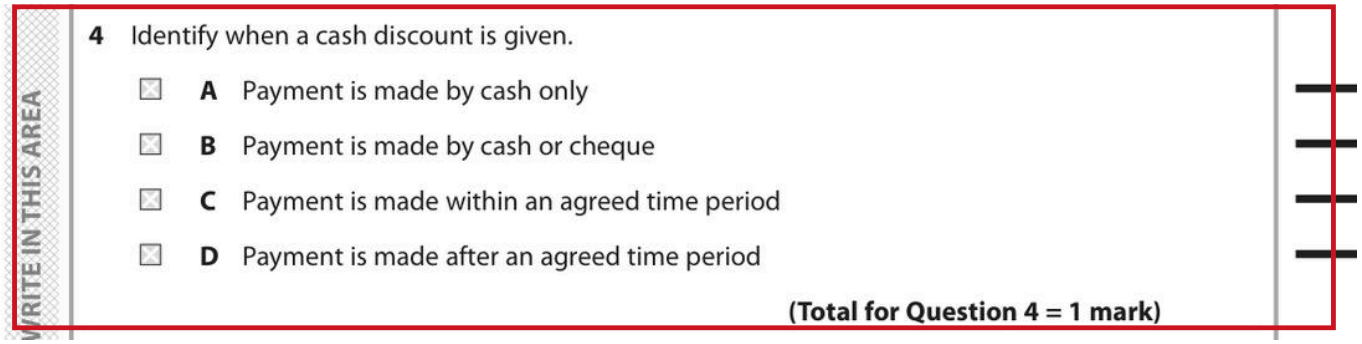
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9. Question 4 · part whole · 1 mark

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.



Working and answer

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10. Question 14 · part a · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part a only.

14 (a) State **two** reasons why a business may offer a trade discount to customers.

(2)

1 .....

2 .....

Moore is a wholesaler who sells goods on a credit basis to several local retailers.

All his credit customers receive a 10% trade discount.

On 1 March 2024 the following balances were due from his credit customers.

Customer	$
Park Stores	400
Green News	1 256
Mary's Sweets	176

During the month of March 2024, the following transactions took place.

March 2024	Transaction
3	Sold goods on credit to Park Stores, list price $120
7	Green News returned goods, list price $50
11	Received a cheque from Mary's Sweets in settlement of her account balance on 1 March 2024.
18	Sold goods on credit to Green News, list price $280
28	Received a cheque from Green News in full settlement of its account.
29	Sold goods on credit to Park Stores, list price $280
30	Received a cheque from Park Stores on account, $500
30	The cheque received from Mary's Sweets on 11 March 2024 is returned by the bank as dishonoured.

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10. Question 14 · part a · 2 marks

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Further practice · Attempt part a only.

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(b) Prepare the following ledger accounts in the books of Moore.

Balance the accounts on 31 March 2024 and bring the balances down on 1 April 2024.

(11)

Park Stores Account

Date	Details	$	Date	Details	$

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Green News Account

Date	Details	$	Date	Details	$

Mary's Sweets Account

Date	Details	$	Date	Details	$

10. Question 14 · part a · 2 marks · Working and answer

Working and answer

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11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

14 (a) State **two** reasons why a business may offer a trade discount to customers.

(2)

1 .....

2 .....

Moore is a wholesaler who sells goods on a credit basis to several local retailers.

All his credit customers receive a 10% trade discount.

On 1 March 2024 the following balances were due from his credit customers.

Customer	$
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Green News	1 256
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28	Received a cheque from Green News in full settlement of its account.
29	Sold goods on credit to Park Stores, list price $280
30	Received a cheque from Park Stores on account, $500
30	The cheque received from Mary's Sweets on 11 March 2024 is returned by the bank as dishonoured.

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11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(b) Prepare the following ledger accounts in the books of Moore.

Balance the accounts on 31 March 2024 and bring the balances down on 1 April 2024.

(11)

Park Stores Account

Date	Details	$	Date	Details	$

Green News Account

Date	Details	$	Date	Details	$

Mary's Sweets Account

Date	Details	$	Date	Details	$

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11. Question 14 · part c · 2 marks

2024 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

Moore is considering offering cash discounts to his credit customers.

(c) State **two** benefits that this may bring to his business.

(2)

1 .....

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2 .....

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(Total for Question 14 = 15 marks)

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12. Question 11 · part c · 2 marks

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Further practice · Attempt part c only.

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11 (a) State the name of the book of original entry used to record: (2)

cash sales

credit sales.

(b) State the name of the document a business would send to a customer at the end of each month requesting payment. (1)

(c) State **one** reason why a business would offer its customers: (2)

trade discount

cash discount.

(Total for Question 11 = 5 marks)

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13. Question 6 · part whole · 1 mark

2025 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

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6 When would a business allow a customer a cash discount?

- ☒ **A** Customer had purchased previously
- ☒ **B** Customer paid in cash
- ☒ **C** Customer paid their account within stated time
- ☒ **D** Customer purchased a large amount of goods

(Total for Question 6 = 1 mark)

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